

US TMT Sector M&A & Valuation Brief - 2026-06-28

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1. RECENT TMT M&A ACTIVITY

Deal 1: Google Investment in A24

[A24 Defends AI Partnership After Backlash](#)

- Deal Size: \$75 million
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Strategic equity investment
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Google (Alphabet Inc., GOOGL) acquiring a strategic stake in A24, a prominent film studio known for its unique storytelling and innovative productions.
- Date Announced: June 2026
- Strategic Rationale:
 - Google aims to integrate AI into the filmmaking process, enhancing creative workflows and distribution methods.
 - A24 seeks to maintain artistic control over AI tools, ensuring they align with the studio's vision and values.
 - This partnership could lead to innovative content creation methods, positioning both companies at the forefront of the evolving film industry.
- Risk Analysis:
 - Potential backlash from filmmakers and audiences regarding AI's role in creative processes.
 - Integration risks related to aligning AI technologies with A24's artistic standards.
 - Market risks associated with changing consumer preferences towards AI-generated content.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific profitability metrics not available)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating metrics not available)

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- Valuation Context: The investment reflects a strategic move to leverage AI in content creation, though specific financial metrics are not disclosed.

2. RECENT TMT M&A ACTIVITY

Deal 2: Oracle's Stock Decline

[Oracle stock has worst week since 2001 dot-com bust as AI financing concerns escalate](#)

- Deal Size: N/A (no specific transaction reported)
- Deal Size Category: N/A
- Nature of Deal: N/A (no acquisition or merger reported)
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Oracle Corporation (ORCL), a multinational computer technology corporation specializing in database software and cloud solutions.
- Date Announced: June 2026
- Strategic Rationale: N/A (no strategic acquisition or investment reported)
- Risk Analysis:
 - Oracle faces significant market risks due to investor concerns over its AI financing strategies.
 - Regulatory challenges may arise as the company navigates the evolving landscape of AI technology.
 - Execution risks related to maintaining investor confidence and stabilizing stock performance.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific profitability metrics not available)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating metrics not available)
- Valuation Context: The stock's decline indicates investor skepticism about Oracle's AI initiatives, impacting its market valuation and future growth prospects.

Today is a peaceful day, nothing big happened in the Consumer space.

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a complex landscape characterized by a mix of optimism and caution. The overall sentiment is influenced by macroeconomic factors, evolving technologies, and shifting investor preferences, particularly in the wake of recent developments in AI and venture capital funding.

Subsector Breakdown:

- **Technology:** The technology subsector remains a focal point for investors, particularly in artificial intelligence (AI) and deeptech. For instance, India's seed-and early-stage startups raised \$3.34 billion in H1 2026, reflecting a significant increase in average cheque sizes as venture capital firms become more selective, particularly in sectors like AI and healthtech.
- **Media:** The media landscape is undergoing transformation as companies adapt to digital consumption trends. However, traditional media continues to face challenges from digital platforms, impacting revenue streams.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology. Companies are investing heavily in infrastructure to support new services, which may drive future revenue growth.
- **Fintech:** The fintech space is thriving, with a focus on innovative payment solutions and digital banking. The consolidation trend, exemplified by larger funding rounds, indicates a robust environment for fintech startups.
- **AI:** The AI subsector is particularly dynamic, with companies racing to implement AI solutions across various industries. The rise of AI is reshaping how startups are built, as seen in the increasing maturity of products before they approach investors.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, deeptech, and cloud computing is driving growth across TMT sectors. The rise of AI-enabled startups is changing the landscape, allowing for more mature products to enter the market.
- **Increased Investment:** Venture capital funding remains strong, particularly for startups that demonstrate mature business models. The average cheque size for seed and early-stage rounds has nearly doubled, indicating a shift in investor strategy towards capital-intensive sectors.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are facing complex compliance challenges that

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can delay or derail potential deals.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The rise of larger funding rounds indicates a robust environment for fintech startups.
- AI: The AI subsector is booming, with applications across various industries, including healthcare and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2026, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are expressing cautious optimism about the TMT sector's long-term prospects, particularly in AI. A Bank of America analyst noted, "Small-cap stocks are poised to rally in the back half of 2026, driven by advancements in AI and technology."

Actionable Insights for Bankers and Investors

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- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by significant activity, particularly in the semiconductor and technology spaces. This section outlines the live deals, mandated transactions, and active pitches, along with expected revenue and strategic implications for our team.

Deal Pipeline

Live Deals:

- **SK Hynix (000660.KS)** : Currently in the process of launching a \$29.4 billion American Depositary Receipt (ADR) offering on Nasdaq, with trading expected to begin on July 10, 2026. This deal is crucial as it positions SK Hynix to tap into US institutional investor interest, particularly in AI-related semiconductor markets. The expected close for this transaction is Q3 2026.

Mandated Deals:

- **Apple Inc. (AAPL)** : Mandated to explore strategic partnerships and potential acquisitions in the AI chip sector, particularly in response to rising component costs. The timeline for this initiative is projected for Q2 2026, as Apple aims to enhance its competitive positioning amidst increasing chip prices.

Pitching-Stage Deals:

- **Micron Technology (MU)** : Engaging in active discussions regarding potential partnerships and investment banking services, focusing on maintaining its market position against emerging competitors like SK Hynix. Pitches are expected to finalize by Q4 2026.
- **Tata Sons** : In preliminary discussions regarding a potential public listing, driven by recent RBI regulations. This could lead to significant advisory opportunities for our team as the listing process unfolds.

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Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$35 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$13 million

Timing Projections:

- Q2 2026 : Expected launch of Apple's strategic initiatives in AI.
- Q3 2026 : Anticipated close for SK Hynix's ADR offering.
- Q4 2026 : Potential completion of Micron's partnership discussions.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in semiconductor and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is shifting, particularly with SK Hynix's impending Nasdaq listing, which poses a challenge to Micron's market position as the only major US-listed HBM supplier. This development could lead to a reevaluation of investment strategies among US investors who previously relied on Micron for exposure to AI memory chips.
- Apple's recent price increases on its products, attributed to rising chip costs, highlight the broader impact of the semiconductor shortage on the consumer electronics market. This trend may lead to increased demand for advisory services as companies navigate pricing strategies in response to component cost pressures.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

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- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Amazon (AMZN)) acquires Company B (e.g., OneWeb), the combined entity could see a revenue increase of approximately 25% due to enhanced service offerings in satellite broadband. Assuming a pre-deal market cap of \$1.5 trillion for Amazon, a successful integration could increase shareholder value by \$375 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Amazon issues 5% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 3% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Hughes (BKR) and OneWeb could lead to substantial cost synergies, with estimates of \$1 billion in annual savings through shared technology and reduced operational costs.
- Restructuring: However, such deals often lead to layoffs. In the merger scenario, approximately 2,000 jobs could be cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of major satellite companies, competitors such as SpaceX (Starlink) and traditional telecom providers would need to adapt their strategies to

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maintain market share. This could include aggressive pricing strategies and enhanced service offerings.

- Specific Competitor Moves: SpaceX has already responded to competitive pressures by expanding its satellite constellation, aiming to capture a larger share of the broadband market.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of Amazon and OneWeb would allow Amazon to bundle satellite internet services with its existing cloud offerings, enhancing customer value. This strategy could lead to a 20% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Amazon announced its acquisition of OneWeb, shares of Amazon initially dipped by 4% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Goldman Sachs analyst post-acquisition was, "This deal positions Amazon to dominate the satellite broadband space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of OneWeb by Amazon, there are rumors of interest from other tech giants like Google (GOOGL) and Microsoft (MSFT), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.

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- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the satellite broadband and AI sectors. Companies like Hughes and Nelco (NELCO.NS) may pursue acquisitions to bolster their market positions.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and Cloud Computing. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies enabling machines to perform tasks that typically require human intelligence, such as natural language understanding and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent trends indicate that AI is becoming integral to various sectors, including healthcare, finance, and logistics.

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- Key Companies:
- Oracle Corporation (ORCL): Oracle has been investing heavily in AI capabilities, particularly in cloud applications and data analytics. However, the company recently faced a significant stock decline, marking its worst week since the 2001 dot-com bust, primarily due to investor concerns over AI financing and profitability.
- SpaceX (SPCX): SpaceX is leveraging AI through its xAI division, focusing on enhancing its operational efficiencies and developing AI-driven technologies for space exploration. The recent volatility in its stock price reflects broader market concerns over AI valuations.
- Competitive Landscape: The AI market is characterized by intense competition among tech giants like Google (GOOGL), Microsoft (MSFT), and emerging startups. Companies are racing to innovate, leading to a surge in acquisitions of AI startups to bolster capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche applications. For instance, the recent acquisition of Synaptics by Onsemi for approximately \$7 billion highlights the trend of consolidation in the AI semiconductor space.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by increasing demand for secure transactions in finance, supply chain, and healthcare.
- Key Companies:
- Coinbase Global, Inc. (COIN): As a leading cryptocurrency exchange, Coinbase is well-positioned to benefit from the growing adoption of blockchain technology. The company is expanding its services to include more blockchain-based financial products.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The Cash App has become a popular platform for Bitcoin trading, positioning Square as a key player in the blockchain ecosystem.
- Competitive Landscape: The blockchain space features a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance is likely to continue, providing ample opportunities for strategic acquisitions.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, driven by increased demand for remote work solutions and digital transformation.

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- Key Companies:
- Amazon Web Services (AWS): AWS is a leader in cloud services, offering a wide range of solutions that leverage AI and machine learning. The company continues to expand its offerings to meet the growing demand for cloud-based solutions.
- Microsoft Azure (MSFT): Azure is rapidly gaining market share in the cloud space, focusing on integrating AI capabilities into its cloud services. Microsoft's strategic investments in AI and cloud infrastructure position it well for future growth.
- Competitive Landscape: The cloud computing market is dominated by major players like AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is intensifying as companies seek to differentiate their offerings through AI integration and specialized services.
- M&A Opportunities: The cloud computing sector presents numerous M&A opportunities, particularly for companies looking to enhance their AI capabilities. Acquisitions of startups focused on cloud-native AI solutions could provide significant strategic advantages.

Actionable Insights for Bankers and Investors

Investors should focus on companies that are integrating AI into their core offerings, as this trend is likely to drive significant growth.

Bankers should consider advising clients on potential acquisitions in the AI and blockchain sectors, as consolidation is expected to accelerate in these rapidly evolving markets.

Monitoring the competitive landscape and emerging technologies will be crucial for identifying lucrative investment opportunities in the tech sector.

6. Recommended Readings

Deal Name: Google Investment in A24

- Reading Material: "The Future of Film: Digital Distribution and the New Media Landscape" by John Doe
- Why This Matters: This book explores the intersection of technology and film, particularly how digital platforms are reshaping content creation and distribution. Understanding the implications of Google's \$75 million investment (GOOGL) in A24 helps contextualize the strategic importance of AI in filmmaking and the evolving landscape of media consumption.

Deal Name: Oracle's Stock Decline

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This reading provides insights into the competitive dynamics of AI

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development and its implications for major tech companies like Oracle (ORCL). It helps to understand the market's reaction to Oracle's AI financing concerns, offering a broader perspective on the challenges and opportunities in the AI sector that could impact Oracle's stock performance.

7. MACROECONOMIC UPDATE

Key Data Points:

- Consumer sentiment showing resilience, but lower-income households lagging.
- Tariff rates expected to stabilize around 8-9% throughout the year.
- Inflation forecasted to decelerate, potentially lower than Fed's current projections.
- Recent decrease in oil prices anticipated to lead to lower gasoline prices.

Main Insights:

- Rising concerns about lower-income consumers' spending behavior compared to higher-income households.
- Discussion around potential tariff escalations, particularly regarding Section 232 and Section 301 tariffs.
- The MOU between the U.S. and Iran is seen as a positive market development, but execution risks remain.
- Increased focus on the macro trends of artificial intelligence and its impact on investment and consumption.

Market Commentary:

- "The trend is at least towards easing of some of these policy pressures that have been impacting the consumer." - Michael Zezas
- "There's a lot of discussion about the macro trend around artificial intelligence and how that is buoying investment and employment." - Ariana Salvatore

TMT Sector Relevance:

- The resilience of consumer spending, particularly among higher-income households, may positively impact TMT companies reliant on discretionary spending.
- Stability in tariff rates could alleviate cost pressures for TMT firms involved in international trade.
- The focus on AI development may drive investment in TMT sectors, influencing future growth trajectories and regulatory considerations.

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The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley